

2026 May 6 CMA - Flip Property and Land w Craig

2026-07-29 21:42:35

00:00:02 Speaker 1

Okay, we got some awesome properties we're taking a look at today. Flip a couple flips uh properties and the land. Um okay,

00:00:11 Speaker 2

Sorry I resent it.

00:00:13 Speaker 1

So, here we go plug it in here. Two one five, four, three, five one This is in Springville point nine, three acre. Okay.

00:00:30 Speaker 1

Very interesting.

00:00:32 Speaker 2

So this one's interesting because he he's kind of advertising it as a home that can be flipped. It's a two bed, one bath, and then it's a really long lot. And so you could potentially subdivide it behind where that cul de sac is and add like a little stub road, and then a lot on either side. I think they they put it in the pictures.

00:00:54 Speaker 1

Well, okay uh okay yeah I've got some commentary on this already but I'll um, Okay, that's interesting. Very, very, very deep. Um, I'll tell you stub road oh from right here. That's why this would work. I was going to say this is not going to work. This can work. The reason why I said it was not going to work is you are looking at this picture here. If you get, if usually when you have a flag lot, which is what this would be behind this home.

00:01:28 Speaker 1

Most cities only let you put one home off of a flag instead of two, and it's like, "Ah, it's not going to work." Plus the the width on this is it's so small up front. The width on being able to get by right here at this location. T here is not even a width to do it. You have to have a certain width on your flag road as well. I am like, "I don't think he's going to fly, ", but seeing this picture that can work and And, then so you have this lot accessed only from four hundred east. You have, These two lots accessed from here, and yeah, this this one's okay. And here is the interior of the home,

which is straight up one hundred percent flip material. In fact, for this price, you could almost even just knock down the house. And here is the reason why. Let me show you the math. This is super quick math one aspect of this here. So let's go back to this picture here so three lots what.

00:02:25 Speaker 1

Would be the retail value of three finished lots in Springville, and I don't know their exact sizes, but they're roughly going to be they're going to be more than quarter acres. At least a couple of these. I mean, they're they're going to be decent sizes. So um let me show you um some some interesting stuff. Okay, there's a lot of cool stuff. I'm glad I'm glad this is one. We're going to take a look at today. So you you're going to see some fun things from me. So I'm just going to take a look at land because I can give you a quick and dirty um. Valuation on the land. So, I am still going to go with these four statuses, but at this point, I am just going to, i am going to focus on the city of Springville. Um, just to give you an idea, so we have fifty of these. I am going back a year ; land doesn't move quite as fast as homes in terms of like value. I have no problem going back about a year, and we haven't seen much movement in the market anyway. Now some of these are like wow, one point, eight, four acre well. These are up in the boonies.

00:03:22 Speaker 1

Like that, and there's going to be different reasons, utilities and otherwise access that are going to decrease those. So you're going to ignore all that stuff. Um, and now I'm going to get to where it's more like the normal stuff. Um, And and you can see here, oh, let me go back down here. So man I could exclude commercial from this. Um this isn't a lux. This has got to be a more luxury area. There are. Point three nine acre lots selling for three fifty five, but and that's for sure the wrong application. That's absolutely the wrong application. I hate when they do that. Okay, so this is up near the canyon, sort of in a nice area. These third acre lot subdivision these are selling in the three hundred s, three fifty s. I mean, that's you know some more prime land. We're not in that area. Here is some one acres. These are going to be up in.

00:04:19 Speaker 1

Uh oh, that's the one we're looking at right now actually. Um, these are up in the canyon and we can't really rely on those. I'd really like to find more of the quarter acres and I'm not seeing that. The problem is see directions, these are all going to be up in the boonies up here. Um, and it's not going to make as much sense or like then now here's a quarter acre lot. And this is hopefully in a more normal neighborhood that actually still is not because Hollow Creek's nice. Um here you have let's see Says C directions. We don't have very many normal lots in here. Um, let's see here. Let's just do this. Let's take a map. Actually, I should have excluded C. I really just want to see this stuff in here, like I want to see what's in town, um, not this stuff. Just want to see what's in town now these What is this one here?

00:05:19 Speaker 1

Lot 21.09 acres. I can't really trust exactly what's going on with that. This one looks a little more reliable, .07 acre for 130. And that's in a planned unit community. Those are tiny postage stamp plots. We're going to be worth more than that. These are just in the wrong location, But this more the size we're looking at. This this sort of actually it's point nine nine acres. So, what I don't know, I really i don't actually like the comps we pulled up in here. These are not accurate. Um, These you need, these are better, and that's why you can't trust those. Um obviously, have the canyon. You can't trust either. So let me let me refine this real quick.

00:06:16 Speaker 1

Um, let's just go to view map. Sorry, I our analysis we might we might be here a little longer today, but I just wanted to show you guys some stuff that's important. Um, So Spanish Fork, let's let's look at Spanish Fork proper and see if we can get more normal comps because Spanish Fork is probably going to be worth a little less than than Springville, but it's going to be close enough. And so I'm okay to come. Look at these and see if I can get any that are.

00:06:46 Speaker 1

More normal. Let's see if I can just so here you are, two acre lot. Oh, that's and that's in a more normal location. So it's listed for two forty nine, um a point, three, six acre lot and I'm good with that location. So point three six acre sold for two seventy um quarter acre under contract, two seventy um. These are probably superior in their location, frankly. And then these quarter acres. So these are basically it's two fifty and above is where you're looking at that. And so I don't I don't think here at this location where we're close to State. Street, I just don't think you're going to get two fifty out of those lots. Um So I'm going to discount say these are worth two hundred each and and worst case scenario, one seventy five that should be a screaming deal at one seventy five. And so um.

00:07:45 Speaker 1

One fifty would be a crazy screaming deal. And so, these are so this whole property is being sold for three hundred. And so, Your cost to develop it. This already has utilities ;. You literally have to bring finish that road. And then put utilities into these. How much is that going to cost? I usually budget eighty thousand dollars per lot. Maybe that's what you need to do. I don't know; it's probably less, but let's just call it eighty thousand a lot. So, if the retail value of this is one hundred fifty thousand a lot, which is really cheap, so it's probably going to be more. But that would be four hundred and fifty. Subtract out eighty thousand three hundred and seventy. And I think honestly these lots are probably one seventy five to two hundred. It's probably where those value is. I wouldn't guess more than that, But let's just say, one seventy five to two hundred You are one seventy five times three That's.

00:08:41 Speaker 1

Um, four fifty plus another seventy five is five twenty five. Five twenty five minus

eighty thousand. Oh, sorry, I guess it's eighty thousand per lot minus one sixty. So that's where that's where I am getting off on my math. But so so anyway, So might if five, twenty five minus one sixty still, that's a still. It's a really, really good deal. There is value in there and I don't think it's going to be eighty thousand per lot because I just don't think it will be. But, but let's say, but I can say okay. So if there were lots worth one fifty each, one sixty for development, you are at two ninety. And that's because I listed it at three hundred. Now that being said, I think. So now here is what we're going to start doing some different math here. So that's see how so you can see sir how I quickly just did the land valuation on that. How and Nathan that's sort of how I did like when you sent over that river bottoms one.

00:09:39 Speaker 1

To me a few days ago, I uh, anyway sort of similar. I was just pulling up the lots in the area and found similar lots and was able to deduce what that lot land value would be. So any questions on that?

00:09:53 Speaker 2

I do have one question. So those lots have not been subdivided yet. Like they have a pre, I can't remember what they call it like a pre approval submission, like basically they have the paperwork. That they would submit to the county, but it hasn't been done yet. I'm wondering if you think it would be difficult to get that approved, like what the likelihood would be, or if that changes the value since it's not like three distinct plots. Like right now, it's just one big plot. They're just advertising it as something that you could split up.

00:10:27 Speaker 1

Yeah, yeah, that's a great question. And I bet they're going to have highest and best. I bet they're going to have multiple offers. So there is risk. So let's see this subdivision pre-application summary disclosure and acknowledgement of lead-based paint. So, um, here is where your risk is. Um, see side work must be spelled out long for interviews at current okay.

00:11:05 Speaker 1

I'll explain that here in a second. I'm just reading through this. South boundary has some discrepancies, boundary line adjustments, shifted out of correct position. The other county has a small sliver piece on the south side. Um, twelve foot drainage easement runs along. Essentially, it's an essential first step in our records. Um, impact fees applicable to new lots. Yep. So here, here's where you've got some additional costs as well. So so right here.

00:12:02 Speaker 1

This this lot one was grandfathered many years ago when it was built to not have curb gutter sidewalk. However, new code and this is very common. I ran into this Pleasant Grove when I did a subdivision. If you create a three lot subdivision out of this, the city can then say, Hey, oh, you are subdividing great. We are now going to

require you to improve lot one. And now you got to put in curb gutter sidewalk. So now you've added a little bit to your price. So now you've added. I think these lots are worth one hundred and seventy five to two hundred. I think a lot of developers are going to assume these at two, some may even say two twenty five. Like honestly, you might be able to get away with two twenty five. But, let's just call it one seventy five to be very, very, very risk averse. So that comes in at five, twenty five eighty thousand per lot for these lots for development is one hundred sixty. And then you are going to have to now subtract out the curb gutter sidewalk up here. I don't know what that's going to cost, but let's just call another twenty thousand and I don't know what that is. It's one hundred eighty thousand.

00:12:57 Speaker 1

Um, and so there is still some developer profit in there, but here are some risks. The boundaries are uncertain. So, Here is what I normally do : Nathan before i even before I buy a property, I will put it under contract with enough time to where I can go to the city, get and get it fully approved as a subdivision. So now it looks like it's zoned; we'd have to check the zoning. I am going to assume right now that the zoning allows this. If it doesn't, you have to go through a rezone process. The city council can arbitrarily deny it. There is no rezoning that they're automatically required to approve. So, the city council say, "No, we want a one acre lot there. Sorry," and you are done. And, then you just spent three hundred thousand dollars, and you are not going to get that on a flip. And so there is risk now Let's assume the zoning is already there. If the zoning's in place, your risk goes way down, but I would still check.

00:13:54 Speaker 1

During due diligence, you've got to verify. Like I still want the subdivision to be approved, So you can submit the subdivision and you can run into a number of things where they could say, well, like you could run into sewer issues, water looping issues, boundary line issues. Access : You got to make sure that you have to check with city engineer for access issues. They may they may come in and say, hey, you need to come in. And we're going to require you to round out this cul de sac. And now that which I wouldn't be surprised. They're probably going to require that, and then that takes up a little bit of your building space. Okay, that's fine. But anyway, it sounds like there are boundary issues with the neighbors. You got to get those all squared away. And I'd like to get all that squared away before I close. Now these guys probably are not going to do that because if it's zoned that way, There is someone who's going to be willing to take the risk that they'll work through all the things I just talked about. Soils might also be an issue.

00:14:48 Speaker 1

Where you know, and that could reduce like if there's collapsible soils on these two lots, That's going to reduce your lot value by about twenty thousand per lot to remedy that, and maybe more. And so but you're not you're not going to have

enough time if they're going to want a quick closing. Um so that that's another issue there. Um anyway. So yeah. So that's where does the risk does a value decrease if they require fast closing? Absolutely because they're pushing risk onto the buyer that some of these things might not get approved. And then you and so I would never, just for me because I've seen too much. I wouldn't buy it unless I can get a fully approved subdivision, Which by the way, would take them at least three months if it was going through lightning fast. Six months is more likely how long it's going to take because you get you, it takes you a while to get your subdivision stuff put together. Then you take it to the city, then they redline it. You got to take it to the planning commission for approval. Then, you got to take it to the city council for approval. And then sometimes you got to go back to the city count planning commission for approval after that.

00:15:47 Speaker 1

And that just takes months. It just takes months to get all that done. So, I mean, if it were me, I wouldn't buy it unless I get all three. And plus, I want to get excavator bids, so I can know exactly what everything's going to cost. And you got to check the depth of the sewer line. Like if it's not that low, Then you are going to have to put injector pumps into all the houses to pump the sewer uphill. Like, there is a whole host of issues you run into which I think they priced it low because they want a fast closing like. But if it were me, I would have as a seller i would have gone through and got all the subdivision fully approved. And then sold this office a fully approved, fully platted subdivision. No risk to the buyers, And you would be you would have magnified the price value of this by one hundred grand by removing the risk. Maybe not one hundred, but fifty grand easy easy fifty to seventy five thousand, just to increase the value. Just like that taking through the through the approval process. Um now.

00:16:45 Speaker 1

Here is another thing because we did the analysis, assuming we're just going to knock that front house down. But, let's look at it really quickly to where we don't knock the front house down. And we keep the front house. You have a, call it, it says fifteen hundred square feet but I bet that basement is completely unusable. So, but you know, thirteen, fourteen hundred square foot home that the bones of it probably are still fine. Roof looks like. It's maybe okay. Um, the inside just needs a complete refreshing. And, so you're going to probably dump how much money into that to bring it up to speed? Like 100 grand? Yeah, there's your basement. And yeah, this needs to be researched. Why, are they holding the I I? I'd just be curious about how you know, you'd want to have a structural engineer check this one out. To see what the heck's going on with this basement down here and make sure it is actually safe.

00:17:42 Speaker 1

I don't know. You got to figure that out. I am honestly inclined to just scrape that

house, And they priced it at a level where you can scrape it ;, not a problem. Like you could just knock it; they priced it that low. I think t here is going to be a bidding war. I think t here is going to be buyers that are willing to buy this without subdivision approval all in place, But let's just assume real quick a remodeled. So Here is how you are going to do the remodeled house :. So I am going to clear off the criteria. Um, and I am just going to look at um Springville. I am going to look at some older homes in Springville, and I mean i'll do this quickly enough. But I can come in here, so I am going to just go control F. I am going to type in the word "total," brings up square footage. So, I am going to be interested in looking like maybe nine hundred square feet up to eighteen hundred square feet, something like that. I don't really care the style.

00:18:39 Speaker 1

I'm just I'll take any home. I do can I I'm we're dealing with old homes, so I don't want to deal with anything newer than 1979, and I probably going to scale that back. And then I'm going to go into the city of Springville. Oh um let's see here Springville, and I've got 42 sales in the last 12 months. And it'll be easy because i'm just going to come in here And I'm going to find what these look like remodeled. And then we'll see what makes sense when I go through this. So, I'm just going to go like this. This is how quick and dirty and easy, and it's actually decently pretty darn accurate. Let me just go scan through here. So the highest is a 485, 1700 square feet That's remodeled really nicely. I mean you can see that.

00:19:38 Speaker 1

They mean they did exterior, interior. I mean, if you want to deck out deck out, then there's a comp for you right there under contract forty five. It only took twelve days to go under contract. It's actually located in a decently similar nearby area. It's actually on a busy road and I am listing by the way that home right there, where the cursor is right there. I actually have that on the market right away. So this is a busy road and it's still selling really fine. And actually, This this comp unnerves me a little bit because mine is listed at four fifty at that corner. And it's more square footage. But anyway, that's okay. I am glad that one's under contract ; don't have to worry about that competing with my comp. Then you've got another one here; this one's got a mother in law apartment, um you know, and these are going to be remodeled so.

00:20:32 Speaker 1

Well, we're seeing that that's with the mother in law apartment. Interestingly, that one's sold at four seventy nine. We don't have a chance to put in a mother in law apartment, and we're not this high on square footage, so we're not going to be in the four eighties. Um, Four seventy This is going to be a remodeled home as well as you can see, like see how easy it was for me to find these remodeled homes, unfinished basement But again, A little bit larger than than the subject That's, four seventy Here's one at four, sixty five, with a little bit smaller square footage. And this

probably remodeled, but it's too small, not selling. And yeah, it's been updated, but it's not to current tastes. Um. There is another one: thirteen thirty nine square feet. This sort of the square footage range we're dealing with. Neither of them has sold seventeen fifty six sold um. This one is not updated so you wonder where someone paid for this one. This going to be up It's just.

00:21:31 Speaker 1

This one has, I don't know, the neighborhood is going to be different. One there's going to be an advantage on that in the neighborhood. Um, I want to find and this hopefully this it right here. This one let's let's hope that this one's remodeled. So there we go, this one's remodeled. This the square footage we're talking about. This fully remodeled. So even the basement you know, is remodeled and updated. And um and it is in a superior location than what we. It's really funny. I told this guy, it's like I told this guy to call me back at a certain time, and I said, "This the time you cannot call me," and he calls me at the time you can't call. Anyway, so four forty, and I am thinking this a superior location, so we'll reduce ours four twenty. So I am right now just in the ballpark of four twenty five. Here is another one ;. This a little bit bigger ;. This probably remodeled as well.

00:22:28 Speaker 1

This nice on the inside. Just scan it through quickly. That was 448. It's um uh anyway, there's the square footage distribution. It's a little bit larger. Um here's one that's active. Let's see if that one's remodeled. So this comp gives you a little pause 'cause this listed at 430, similar square footage, maybe not as nice as you know, That looks nice so 430, maybe not it, and then you can try to bracket it, real really fast. And so that one's not remodeled as nicely, And this one sold for four twenty five, and it's fourteen thirty one square feet. Although I'll be at all in one note, so I am starting to land in my brain around four twenty five. Four fifty would sort of be an outside. That one's on Center Street, so this is a busier road and it has some updates on the inside. Um, sold for four nineteen. So you can see like four twenty.

00:23:23 Speaker 1

It sounds like we're pretty good at four twenty. Like this one here, I would assume is not as updated just based on the square footage. And look, I am not wrong. I just knew that before I clicked on it because of the square footage and the price. And so, I now feel like i bracketed. I can see like i am pretty solid that the value of this on a flip is four, twenty four, fifty max. And i feel really solid about that. So if you were to buy this property for three hundred grand. And not subdivided, and you dump one hundred twenty five into it, it's going to be worth four twenty to four fifty. And you bought it for three hundred, added one hundred twenty. You are sort of there. Oh plus here is the nice thing. I was doing that assuming a smaller lot. So it's a point nine, whatever acre lot, but I was assuming on the remodel on on that, you are going to buy it subdivide off some land. So that's worth without the lot. So this is for sure, even as is without subdividing.

00:24:22 Speaker 1

This is a screaming deal at three hundred thousand. Is it is a screaming deal? So you are going to have a multiple, You are going to have a bidding war because I think the highest and best for this would be to subdivide off two lots. And then you take the the front home, put one hundred and some odd thousand into it, and end up selling it. So, you are going to sell it for four thirty, something like that on one hundred, you know. So let's call yourself for four thirty. I don't know what they've The finishing costs, or it's called one hundred thousand, or you know. And let's say you bought the land for let's say you buy the land, You are going to buy it from more than three hundred, but three hundred into the land, a hundred into the costs. So you are into it at four hundred. You sell it for four thirty sales costs commissions whatever coming out of that. I mean, You are going to break even on that. And then you are going to have the land. And then you are going to put about one hundred sixty into the thousand into the land.

00:25:19 Speaker 1

And, then you are going to have two lots worth about two hundred thousand each, maybe one hundred seventy five thousand. So you picked up in that process, at least one hundred seventy five one hundred eighty thousand dollars really easily. That's just on the side, then you can go vertical, build the homes, earn the profit on the homes. So anyway, that's how that would be. Nathan what do you what are your thoughts or questions on that?

00:25:43 Speaker 2

Yeah, can you explain? Can you just explain one more time, how you would do. Make an offer on this just because there are there are so many different things you could do with this property and I don't know I just want to be able to talk to him, like I know what I'm talking about, but I've never made an offer on a deal like this. So just explain one more time you said around 42 5, you'd be breaking even on the house, like if you were to to flip it. And then for the lots themselves, it would be like the value would be 160 for just the lots after you.

00:26:17 Speaker 1

To two hundred, but I, yeah. And the home's gonna be four twenty five to four fifty. The lots are gonna be one seventy five to two hundred.

00:26:25 Speaker 2

Okay, gotcha.

00:26:27 Speaker 1

For finished values, um, so is your buyer? Do you have a buyer for this right now?

00:26:35 Speaker 2

Uh yeah I have somebody that's signed with me to look at this, and we're looking at it later today.

00:26:42 Speaker 1

Okayum is the buyer do they want to build? Are they contractor? They want to build homes. You know,

00:26:49 Speaker 2

I just met him yesterday, and we like texted a little bit back and forth. Um, I'll have to pull up his text again. He's told me that he's done some projects before. I don't know what that means though. Um, I don't know if that means like he's developed land, or if that just means that he's flipped a home. Um, I'm, assuming he's done something with land because it was the land that was appealing to him, not the house.

00:27:10 Speaker 1

Okay, perfect okay so, Yeah, a few questions when you when you talk to them tomorrow. How are they going to finance this this now? This home because this home's not financeable. There's not a lender out there that's going to finance this through conventional lending. You have to get hard money. So, This is probably going. We're going to sell it with a cash buyer. And uh, yeah, You're gonna probably sell it with a cash buyer who um so so I'd also call the listing agent, see what offers are on the table already um and see.

00:27:42 Speaker 1

You know, I ask if they're cash. See if your buyer has cash. Your buyer does not have cash, you are going to have to go with hard money. And hard money lenders are going to be a little hesitant on this because of the entitlement risk. Entitlement is the process of taking the lot through the subdivision process and getting it approved. That's when when a property is entitled, that means it's all approved. The entitlement process is going through the approval process. And so, Hard money lenders probably aren't going to be excited to lend on something that has to go through an entitlement process. They'll want a certain amount of money down. That's some question. So, Here is where I would offer to be sort of aggressive if the buyer is savvy and feels comfortable going through the entitlement process. I would do a probably a two week due diligence period and a thirty day close.

00:28:36 Speaker 1

And the buyer paying cash, and I would go in with an escalation clause and say, "You know, You'll beat the next highest offer by five thousand dollars up to a max purchase price of whatever number. The buyer feels comfortable with." Yeah. And. But this is where if the buyer purchases without, i would I would supply them with that document that was on the MLS that we pulled up. and The risk, the buyer is going to take on is there are a few risks like that's not going to give you enough time to get bids from excavators. Excavators are who would give you the improvement costs to put in the road, to put in utilities, curb gutter sidewalk on lot number one. You're not going to have enough time to get the excavator bids. You're

not going to have enough time to test soils, which a lot of buyers don't anyway, but you won't have time to test the soil. Your.

00:29:32 Speaker 1

You're not going to have time to get a subdivision approved at the city, But you will, at least have enough time to go talk to them and and try to measure some of the risks there. Um, But really an engineer would need to dive into this and see what's the sewer depth, where are the water You again you'll need to talk to the city engineer. Where are the utilities located? How much will it cost? And the excavator can help. And, this engineer can help you figure out how to get all the utilities there. Are you going to run into any issues with any of that? You're going need get an alpha survey. And that's going to take that takes two to four weeks to get that back, anyway. As well, like you are not going to get that back during due diligence. Alpha survey not only gives you the boundary lines, It shows you a lot of other things like um the location of utilities and other things on the lot and stuff like easements and encroachments. Like the alpha survey is going to show you everything. Um, that's like the full data of you can get on on the property itself.

00:30:24 Speaker 1

And, so you're going to be buying it without having all those tests done to know what these costs are, what you could run into. And. So that's where the buyer has to know their level of risk. And and really a really solid conversation with the city will be helpful. I would check the zoning map. So, um, I won't pull up now, but you can go pull up the zoning map, see what it's zoned for. And and then you'll know what the minimum lot size is going to be in that um for that zoning. And if you're going to get three lots, you're going to need at least A lot size zoning. I mean, that's going to determine honestly what the subdivision is going to look like. The fire chief will want to comment as well, because the fire chief can turn down anything. And my guess is this will be fine. The fire chief will be fine because it looks like there's room for fire trucks to maneuver around in here. So that's probably going to be okay. Anyway.

00:31:23 Speaker 1

Yeah, you have what's called a DRC meeting, and it's a development review committee meeting DRC. And the chief decision makers in the city come, staff members to try to analyze this like the engineer, fire guys, planner. Like, they come in and see they try to poke holes to see if it's doable that meets code. City council members sometimes show up, sometimes don't they're the ultimate deciding body on a subdivision. But if it meets all the codes, You are going to get the subdivision approved. Like, the city council can't stop you if it meets all the codes for it to get subdivided. You are going to get it done, um, if the underlying zone is already in place. If it's not zoned that way, the city council could shut you down all day long. There is no requirement for them to agree to a rezone. Um, anyway, So you are going want, check the zone on that too Nathan. And just say, okay, what is the

zoning on this? And it's going to say something like R one something. And the next number is going to tell you the minimum lot size. So if it's like R one.

00:32:20 Speaker 1

Like it says, if it says R one twenty two, You are going to be hosed because that means twenty two thousand square foot lots, which is about half acre. R one fifteen meaning means fifteen thousand square foot lots. You probably can pull that off. Um you know something like that so. Um anyway so you want to check on that. Um, but yeah, so it depends on how aggressive the buyer wants to be. And if the buyer doesn't want to be aggressive, then you are going to want to be like, well, we're going to offer. But we need we need three months. Six months due diligence to give you enough time to go through and get subdivision approved. And I think the seller is going to take. I It's probably going to happen because t here is probably enough people that will be willing to take the risk.

00:33:02 Speaker 2

Okay, cool, thanks for going over that.

00:33:05 Speaker 1

Okay, any other questions on that one?

00:33:09 Speaker 2

I don't think so. No,

00:33:11 Speaker 1

Okay. Once you go see it like review the zone go see show it, Sort of get the feel for the buyer on their keep like their appetite for risk, you know, taking a little, you know, just and then if you need follow up, have have follow up questions, just call me. You know or send me Marco Polo or text me or whatever. Just contact me and I'm happy to help. Okay now um we're going to review another flip opportunity. And uh, and this is one this one's in Murray.

00:33:44 Speaker 1

And so you're going to see some similar philosophy. Like, you'd see how quickly I was able to dial in the value on that without doing a traditional CMA, by just saying, well, I'm just going to pull up which properties are remodeled and in in that area. Boom boom. That's the value. And, it was easy to pinpoint that down to down to within, like a three to five percent margin of error. Like we've got that one dialed in. So we're going to do a similar philosophy here on this one in Murray. Um, where it is on Dunrobin. So I'm just going to come Dun Robin. And I'm sure okay, and we're looking at 111199. Not sure why that didn't show up on my Okay, random.

00:34:34 Speaker 3

So when I did a search for it, Dunrobin was coming up as two words.

00:34:40 Speaker 1

Okay. Oops, done. There we go. Brad Marion and um Leslie Hart. So not ever been on the MLS, it's a townhome. Okay, That's gonna that's interesting. So it's a townhome and uh, built in the year 2000. And apparently it's not in good shape. Let's go take a look here. So I'm going to drop this into a map again because we don't have any pictures of it. And this is the location near I-15. Okay, that's also, well, that's interesting. Okay, so it's really close to the Murray Taylorsville border.

00:35:39 Speaker 1

Well, it's obviously in Murray, but it's um this this a nice area back down in here. Uh I lived nearby this for quite quite a few years of my life. That's a nice little neighborhood. Um and maybe I'm not familiar with these townhomes specifically. It's probably a private road. Oh okay, But we've got a little map guy, we can take. Oh, okay, yep um Okay. So that's what we're looking at. I yeah, and I can't speak specifically to the quality of this specific townhome development. Um, but let's let's now take a look at that. So. So you're saying that this one Asha is not in good shape on the inside.

00:36:24 Speaker 3

Yeah, it's a divorce situation and they just want to sell it. It is currently vacant. They just want to sell it cash for cash and as is, Um, I'm gonna do a walkthrough with her. Um, like the carpet is terrible. Um, yeah, It has not been updated, and there is like a little, not a deck, but there are stairs that come off the back of the unit that she said are in such disrepair. She put hazard tape on it. But with.

00:37:05 Speaker 3

With it being a townhome, I am just not sure how to like because if it were a single family, then I think your investor pool would be different.

00:37:20 Speaker 1

Yeah, I've sold a flip once to a townhome. I did a condo actually. A condo was more like a townhome flip. So well let's let's see it all It's all product with price they want. Versus what the value could could be. So let's come in and let's see what that townhome community has been selling for. So I'm going to, let's do this, clear the criteria. I'll take take a look at these statuses here and then I'm going to view the map. And then we could we'll just uh pop in 119 9 West Dun Robin. And that let's see if that picks it up. Okay.

00:38:04 Speaker 1

And let's let's take a look at these townhomes right in here. Now, This is picking up some on the edges here. It's picking up some detached single family. But these, we have plenty of comps in here, so we can dial in a value, and we won't even have to venture outside this because you can see how tight the range is already. Like this is really, really tight ranges. I don't know if there's a benefit with whatever that pond is. Um, So it does look like there's a nice little pond there that I have not ever

actually spent time, never really spent any time. I've driven down through this neighborhood. I probably showed a home in this neighborhood before, but. Okay,

00:38:50 Speaker 3

So what. I did a drive by. It's really close to where I live, so yeah. So I did do a drive by. It mean it is kind of a pretty part of Murray. I mean it's it's one of the older pockets, But I feel like the townhomes in there, you know, are very reasonably priced. So and it's close to the parkway.

00:39:11 Speaker 1

Yeah. Okay, So let's take a let's take a look at these then and hold these up. And these are, you know all these are going to be excellent comps It's February of this year December April April of this year. September last year, in March of this year. These are all acceptable timeframes, and so we're just going to drop these in. Uh, now we don't have an ability. Look, you you can and let's just maybe for fun I'll show you this. You could take the tax ID and and you can drop it in here, but I have had so many problems with this. So okay picks up the address.

00:39:55 Speaker 1

It's picking up three bed, one bath. I doubt that number is correct. In fact, Let's come over here, and you can see it's one full bath and one three-quarter bath and a half bath. So this utility didn't see that. So we can immediately come in there's a full this and this okay? And it didn't put where the square footage should accurately go. So that was that's why I just don't do it that way. It just fails too too often. So here we can easily plug in. Uh so five forty eight, then five sixty, uh, five forty eight, Five sixty and then basement, uh five sixty, and it finished at four four fifty. So um I, you can easily just come in here, and you just pull up the calculator.

00:40:50 Speaker 1

This is all that's very defensible. I just like to provide defensible information. This says it's eighty percent complete in the basement, and you may go down there and find it's more finished than that, but this doesn't move the needle very much. Like if you look at this, okay, like why is this coming up six million? Well, we'll diagnose. There is an error in here somewhere; we're going to diagnose real fast. But you go okay, we got our square footages; we got the year built. Was that even accurate? Um, would we say year built? Yeah, two thousand. That is accurate. Uh, seventy acres. And so that's why I don't do that. This that's where our error is. Um, And I think it was point. Oh, you just click acre total acreage point. Oh, seven. So that's it missed on that. So now, but let me just show you like whether it's eighty or ninety this three, seventy five figure down here goes to three seventy seven. It's it's nominal. It's like it's really immaterial honestly. So.

00:41:49 Speaker 1

Um, Because we're dealing with very little square footage down there, five sixty. And it's just very, very case. So now we've got it all plugged in three seventy five is where

we're coming in sold, three seventy five, actually all six of these are sold. So we're not even dealing with any now acreage for some reason. This has a little bit larger lot. Some of them had a point, oh, seven. But again, that's just going to be a minor difference. Uh, oh, we missed garage. So this is two car carport. All of them. This one's not showing any carport. These are all showing two. My guess is that this one is uh inaccurately listed. In fact, I'll pull this up real quick. Um, well I actually don't see a carport, but that doesn't mean one's not there. Um, yeah, yep, there's your carport, and there's your listing agent who missed on that. So you can come in and edit comp mode. I'm going to put in a two-car carport there.

00:42:45 Speaker 1

I am going to put in a two car carport here. It's irrelevant, and the reason why well this one was relevant changing this comp. The rest of these are irrelevant because every single one of them has the feature. So if I come in and say that this is worth a gazillion thousand dollars, It doesn't change this down here because every single one of them had that feature, so it just cancels out. Anyway, so okay, so we're at three eight. So now we can go look at These and and there's a range between three seventy upwards. Actually, there's a three sixty upwards of three ninety. Why is there a spread that far? I don't know. We're going to find out real fast by looking at these photos. Um, Let's like square footage differences I think are very minute as well, because you are seventeen hundred here, Seventeen right around seventeen right around seventeen, they're all pretty much identical. Um and this says twenty twelve makes me wonder.

00:43:42 Speaker 1

That's not, I know exactly what's going on. This is again another agent that messed up on their showing on this data. This is not a 2012 year built. We know for certain. I'll show you where he's messing up. Year built, 2000.

00:43:56 Speaker 3

He put theum. The uh effective year date, yeah?

00:44:01 Speaker 1

Yep. And again, you're not allowed to do that. Year built is your built. Andum so now we got to go back into edit comp mode. 'Cause this agent screwed up on this. And that's going to affect our bottom line on that number. Now we're like, why was that 360? Well, 'cause we found an error. Um, and it sold for 380 and they gave up 10K in closing costs. Um, which some of these, we've got the closing cost down in here. Okay, so now let's take a look at these. Um I'm I'm going to start with, let's start with the right side, 'cause I want to see what these higher end ones were.

00:44:38 Speaker 1

These four like three ninety three eighty three, three ninety, three ninety. And then you have these two that are lower. So these four are going to look better for some reason. And it could be this is a mid unit so that that wasn't the reason. Um so this

has an updated kitchen, nice flooring, Nice appliances paint color is is odd, but it looks fine. And so it that looks good I, you know. Um, noticeable issues, no deck. Um, but noticeable issues with with that property. Okay, so that's what a 390 looks like. Next, so this this literally sold for 390 and had no concessions. And I say it occurred two months ago. So, let's take a look at this one's an end unit. So so that might give a little bit of a bump take a look at these.

00:45:35 Speaker 1

Good flooring. It's actually a little bit older kitchen, But I think it's the and this is actually not as updated as the first one, But I think the reason why this one succeeded is because it was an end unit and it's fenced. The other one was not fenced. And. So here is some things you could do to start make just dialing in the value on this. A little bit. I would say, you know that this one, I am going to assume, for instance, for a moment that the subject property is sort of just average. I am going to assume that for a second. This one is probably, you know, at least fifteen thousand but let's call it twenty thousand above average. And, then this just because of its night, and you know, some things were nice about it. This one here was an end unit, which I am going to give that ten thousand bucks just for being an end unit and I am going to give it another ten thousand dollars for the fence. The fact it was fenced. And.

00:46:29 Speaker 1

That that's just a very usable feature, so I might give this one twenty thousand as well. Um and again, your numbers might be a little different than that. That's fine. We're ballparking. We're going to be within a pretty similar enough range. So now let's take a look at this one. It's it's a uh uh that looks like an end unit. It's not mentioned here, but it's probably an end unit, and we're going to take a look at. You know, it's it's nice on the inside um updated kitchen. Um. And I assume it's fenced. It looks like it's fenced, so um, you know, do you give it ten thousand for the kitchen and like the upgrades? Maybe ten thousand for the end unit, ten thousand for the fencing. I am giving too much for the fencing probably. I am probably hitting this up too hard at thirty thousand. But um but we're we're getting we're telling a story here. Let's look at this one that's three ninety.

00:47:27 Speaker 1

This one is aum a mid unit. So we're not going to give it an adjustment for being an end unit interior looks okay I'm assuming, there's going to be a backyard fence. There's a nice backyard fenced area. Does this? Do you know if the subject property, you probably don't know if it has a backyard fence or not?

00:47:48 Speaker 3

You know the one on that I when I drove by I think the back is fenced, but there is like HOA access on the side.

00:47:58 Speaker 1

Yeah, and it looks like so it is partially fenced. It's missing some of the fencing here. Yeah, a couple thousand dollars or something. I don't know. I mean, uh, But it is an end unit that's going to help us in our analysis here. Uh okay where was I? Right there um So. So maybe you know that one is a mid unit It was in okay condition. Um and there was fully fenced. I might only give a half. You know, maybe a \$5,000 for the fence situation. That's all taken care of. This one, this guy got a great deal. This one's this guy scored. He did really well. Um, now this one here, let's take a look at this. So this is um mid unit and actually I I need to back up because if the subject property is an end unit, we don't want to give end unit benefits to these others. So let me um sorry, let me let's back up into this. That was a mid these two are end units.

00:48:56 Speaker 1

I'm going to back off 10, 000 on each of those because the subject property, and then this one was not an end unit. So this one it's lacking the end unit status. So we could take that down from a two to a one. And then this one, Was a mid-unit, so we can go actually negative half on this. Um, to accommodate for the end unit situation. Um, and that was just pretty average on the inside. Okay, let's go to this one here. This one is a mid-unit so we're going to do a negative 10,000 on that as well. The interior is sort of what I would say average condition. It's fenced so I might do a negative 0.5.

00:49:53 Speaker 1

On that. 0.5, 0.5. Want that to be a negative. Let's try this again, negative 0.5 Okay, one more mid unit So we'll go negative 10,000 The inside is normal The backyard is looks like it's.

00:50:22 Speaker 1

Partial, it looks like it's yeah. I am not going to give any, so I am just going to say negative negative ten thousand. So it looks to me, you know, three eighty. You are sort of three seventy to three eighty right in that range. This is an anomaly. This guy just had a good sale right in here, so three seventy to three eighty and that assumes normal condition that it's, You know, partially fenced. It's an end unit. It's in average condition, not hammered. So knowing knowing that info, I guess, you're going to need I guess, when you walk through it and you don't know what they want to take for it, right?

00:51:10 Speaker 3

Yeah, But I, my sense from talking to the wife is they uh want to get rid of it as quickly as they can. You know, like how aggressive she wants to be on the price, I'll have to hone in with her, but she's firm on cash as is.

00:51:29 Speaker 1

Okay. Okay. Um okay. So I am going to talk through two different strategies and I

am going to talk through them out loud because they haven't formulated in my brain. So it's going to formulate as I am talking. Let's assume for a moment it's an investor. So an investor that's going to come in pay cash and flip it, So so okay, you have now as I am talking through this, we got two different things. You are going to have two types of investors that come in on this. Um investor one and investor two, and then you have primary occupant. So, one thing you are going to want to check with are investors allowed in the community? Um to see if there is any restrictions on that and something I am going to pull up again. This where you get high level. Okay, this great.

00:52:18 Speaker 1

And you're like, why? You highlighted the letters P U D Y. I said, great. Typically in a PUD, planned unit development, there are usually no rental restrictions or very or few. When you get to condos. It's very different because FHA has strict guidelines regarding how many occupants versus how many investors and if that condo community wants FHA approval, they have to follow those guidelines, and they will typically have rental restrictions.

00:52:48 Speaker 1

Whereas with the PUD, You have a more of a chance that the HOA has not adopted any rental rules. That's why I'm thinking you're going to be okay on this, but you still need to check CC and Rs. And and and you can check with the property management company, whatever. Check the CC and Rs. Are there rental restrictions? If so, is it can investors come in? Because this going to influence how this about to roll. Assuming investors are okay, you're going to have one of two types that will come in. Type number one is the one that wants to buy it, remodel it, flip it.

00:53:18 Speaker 1

That's going to be the buyer that gives you the least amount of money. However, they'll still you know, you'll be able to sell it. So, You're going to have to assess when you go in there. Okay, how much is it going to cost to if it's like really in bad shape, carpet flooring, uh, bathrooms, kitchen, like how much of this you're going to actually have to get up speed? And so are you going to be spending thirty thousand fifty sixty thousand? Let's assume right now. You're just gonna do fifty. And the investor's going to want a profit. They're not going to buy it for three hundred because if they buy it for three hundred, put in fifty, put it on the market, And then they're going to experience say eight percent sales costs between commissions and title and whatever concessions. There is just no money by selling it at three eighty. Oh no, we were assuming average right? We were assuming average conditions. So if you are going to remodel it, You are going to bump that up suddenly into the three ninety range on a remodel.

00:54:14 Speaker 1

Um, you are going to be right around three hundred and ninety on a remodel. Um,

and so if you buy it at three hundred, Can you put in fifty and sell it at three hundred and ninety and pocket a little bit of money? That might be possible. Yes, so but that's that's sort of buyer number one. Uh, that's going to come in and do that. Um, But but that would have to be a pretty clean remodel where they're going to come in because fifty thousand doesn't give you very much money to to update kitchen and bathrooms and flooring carpet like you are going to be tight on your budget.

00:54:44 Speaker 1

But anyway, that's buyer number one. Buyer number two is an investor, someone who's going to come in and rent it out. So they don't need to worry about the sales costs. That person will still come in, buy it, update it and put a renter in. But, they don't need to worry about the margin on they lose on the sales costs. So, these guys can probably improve the offer by twenty thousand or more twenty to thirty thousand. They can give you a better offer That's, so A buyer or investor that's going to rent it out is the next best target? And so, you are going to probably get three twenty. I am just doing rough numbers: three twenty to three thirty out of it. Again, I am assuming about a fifty thousand remodel budget. It's coming up with these numbers. And then the next and you might be able to get a investor that we could do better than that because they're like, " I am just going to put in carpet and I am just going to put in paint. I am not going to change the bathroom and kitchen." And maybe they're going to come in and you can say, "Hey look guys things have been selling in this community legitimately at the three." You know if you look up here.

00:55:42 Speaker 1

Three eighty five, three eighty, three ninety five, three ninety. Like we've been selling three ninety to four hundred. You know that's what these have been selling for. Um and so um anyway, uh yeah I just got a call, but listen. Okay, sounds good flipper will be at seventy to seventy five percent ARV minus rehab costs, right? So so a flipper is going to be really low is is what um yeah, it's going to be really low. So um that's where they're going to come in in low volume. Um okay So, the next best buyer, and honestly, this is the best buyer if you've got a little bit of time. And that's going to be a primary resident who's going to come in and say, "Look, it's occupiable. Carpet might be old. The kitchen might be old. The bathrooms might be old." But can you live in it? That's and because you could say, "Look, I am going to go put this on the market, and I am going to get a fast offer." These have all been listed up at the three um. And maybe I was a bit harsh on this.

00:56:40 Speaker 1

You know, I was sort of assuming average condition, but um, you know, if you put it on the market at three fifty, You should get a whole bunch of our primary resident buyers that are going to be knocking on the door wanting that property. Like a bunch of them. Um. You like three forty nine nine hundred? You, should you should

get primary like a bunch of people through the open house. A bunch of people are like, yeah you've listed this thirty to forty thousand dollars fixer. Forty to fifty thousand dollars below what everything else has been selling for, You are going to get a primary resident come in there and put in an offer and be willing to deal with the property condition. And then you've sold it for three hundred fifty, instead of three hundred or three hundred twenty. And so that's where I know they mentioned they want cash, but it sounds to me why, you know, And these are some questions. I would talk through the seller with : is the reason why you want cash is you just don't want to deal with updating it? That's probably the reason why they want cash.

00:57:35 Speaker 1

Great, so if I can find a buyer that's not cash, But they're not going to come back to you saying repair this out and the other, are you okay with a finance buyer? Probably going to say yes. And we'd say when you want a quick sale, Are you talking about like you need this gone in two weeks? Or can you wait five? Because if you can wait the additional three weeks, here is what that looks like. If you want it gone in two weeks, right? Finance buyers probably going to be out of it. Um and and then and then they're You are going to be You're going to drop. I mean, you're going to list it at three hundred and just say, you know, You are going to have a bidding war and see what buyers are going to come in and just kind of have a bidding war among cash buyers and find, which which cash buyer is willing to push you up uh to some number. Um, you know, and and honestly would list it probably down in that range. And you're like, I need to get it gone in two weeks. Great. Let's put it at three hundred thousand and let's see what happens. Um, but if they're saying, yeah, five weeks is fine. You'd say great, give me an opportunity. Let's let's put it at three forty nine nine hundred And. Let's go find a finance buyer.

00:58:33 Speaker 1

Or maybe a cash investor will come in and do it, but maybe not. But that you know, You get a finance buyer who at that point can go in there, and you can still get a loan. Don't do FHA, but I would roll with the conventional buyer. And, you say we don't want any property repair requests, and we want a closing as fast as you reasonably can. And you do one week to get offers, evaluate offers, choose an offer four weeks to close. And then, so those are some questions I would ask the person: whether they're like, "Do you need to sell in two weeks or can you go with five? " And here is the reason why : is I can get you some more money on five versus two. Anyway, so there is some questions Keaton asked this question with seller finance flip. It's a divorce situation, So I highly doubt that's going to work because they're going to need to divide equity. But I mean Asha could run that by them as well, because if you can seller finance. Well, I guess what you are saying Keaton is.

00:59:30 Speaker 1

Short, really short term seller finance the flip. Yeah, yeah, just a flip term. Um, so yeah. Uh. Yeah, so I see what Keaton and what you are saying there. Um you, you

basically, yeah, you do a six month balloon or something, and then some buyer can come in and just use their funds to, You know update property and then sell it yada yada. Yeah saves and it saves money on the holding costs fine yeah exactly, So anyway, so those are some of the questions I would probably identify. Oh, a timeline you want to get it sold in, and they're comfortable five to six weeks. That's going to change your pricing strategy versus if they want it gone in two weeks, ; totally changes the pricing strategy and changes your target. And you might walk through it. ; might be so hammered that a primary occupant might not be able to get financing, but I doubt that's the case. Anyway, I doubt it. So you may just walk through it, see what you got and then you can make a determination like okay, it's sort of grungy.

01:00:28 Speaker 1

But someone can move in, and a conventional loan should have no problem getting approved. Looks like Keaton may have someone that's hot on the trail for this property. So, anyway, that's the analysis that I am running through on this any Any questions? I know you are on a call, but um Yep, I'll email the CMA. Um and i i am, i this will cma. I am I can't say I am like super proud of or not proud of. It's. It's I didn't I did this assuming average condition, But not remodeled, and and I know a lot of these were selling up in a certain level, But if it was sort of average average ish, you know, three eighty, maybe three, ninety, you know, three seventy to three eighty, three, seven, thirty five, three eighty five I mean, it's sort of in that range. Updated in really good condition, though this would have been up like where these other guys are right close to four hundred. You know three ninety to four hundred.

01:01:28 Speaker 1

So anyway, okay. I will send a CMA and we'll go from there. Thanks everybody. Have an awesome day.